CURRENT AFFAIRS • GS-II POLITY & SOCIAL JUSTICE

OBC Creamy Layer: Salary Alone Can't Decide



Supreme Court in Union of India v. Rohith Nathan (2026): the parent's post and status, not just salary, decide who is "creamy layer"

11 Mar 2026
Main judgment

6 Nov 2026
Centre's plea for future-only effect rejected

6 Jan 2027
Extended compliance deadline (approx.)

The judgment at a glance

Case
Union of India v. Rohith Nathan & Others (with connected appeals), 2026 INSC 230

Bench
Justice P.S. Narasimha and Justice R. Mahadevan (author)

Who went to court
Civil Services candidates denied OBC non-creamy layer status because of parents' PSU / bank / private salaries

Held
Creamy layer cannot be decided by parental salary alone; the parent's post, category and status under the 1993 OM must be considered

In one line: A clerk's child is not "creamy layer" just because the clerk works in a PSU or bank and earns a good salary. Status counts, not pay alone.

Sources: LiveLaw (12 Mar 2026); Verdictum; ThePrint/PTI (7 Nov 2026).

What is the “creamy layer”?

The idea

- Indra Sawhney v. Union of India (1992) upheld 27% OBC reservation, but said the socially advanced among OBCs must be excluded.
- Goal: benefits reach the genuinely backward, not those who have already moved up.
- Applies to OBCs (Articles 15(4), 16(4)); DoPT’s 1993 Office Memorandum sets the test.

Cat.	Who is excluded under the 1993 OM	Examples
I	**Constitutional posts**	President, judges, UPSC members, etc.
II	**Service category**	Group A officers; Group B promoted to Group A before age 40
III	**Armed forces**	Colonel rank and above
IV	**Professionals**	Doctors, lawyers, etc. (via income test)
V	**Property owners**	Land holdings above set limits
VI	**Income / wealth test**	**Income above ₹8 lakh a year for 3 years, excluding salary and farm income**

Key point: status-based categories come first. Salary is kept OUT of the income test (Cat. VI) on purpose.

Sources: LiveLaw; Indra Sawhney (1992); DoPT OM of 8 Sept 1993 (income limit revised to ₹8 lakh in 2017). Categories simplified for teaching.

How the dispute arose

1



Cleared CSE

OBC candidates whose parents worked in PSUs, banks or private firms

2



DoPT applied 2004 letter

Added parents' salary to the income test

3



Labelled "creamy layer"

Denied OBC reservation and appointment

4



CAT & High Courts

Madras, Delhi and Kerala HCs ruled for candidates

5



Centre appealed

Supreme Court dismissed the appeals (Mar 2026)

The core question: When the government has not yet fixed which PSU/private post equals which government post, can it simply use the parent's salary to decide creamy layer?

Source: LiveLaw (12 Mar 2026). Appeals: C.A. Nos. 2827–2829 of 2018 and connected matters.

1993 OM vs 2004 letter: the clash

1993 Office Memorandum

- Issued after Indra Sawhney
- Parent's post and status = main test
- PSU / bank / private posts to be matched with government posts (equivalence)
- Income test excludes salary and farm income

VS

14 Oct 2004 clarificatory letter

- Covered posts where equivalence was not yet fixed
- Counted salary income separately
- Salary above the limit (then ₹2.5 lakh) for 3 years = creamy layer
- In effect, added a new condition to the 1993 OM

Court: a clarificatory letter cannot change the parent policy. The 2004 letter was set aside.

Source: LiveLaw; LawText case summary.

Why the Court ruled this way



Income is not enough

Creamy layer can’t be fixed by income brackets alone. Salary cannot be added up mechanically in a way that defeats the Indra Sawhney aim.



A letter can’t amend policy

A clarification cannot add a new condition missing from the 1993 OM. The 2004 letter cannot override it.



Equals treated unequally

Group C/D government staff are not excluded when their pay rises, but PSU/private staff in similar posts were. That is hostile discrimination under Articles 14 and 16.



Purpose of the creamy layer

It exists to keep out the socially advanced, not to create artificial divisions among equally placed OBCs.

Source: LiveLaw summary of the 11 March 2026 judgment.

What changes: a simple example

Illustrative case: two parents with the same ₹12 lakh salary, both in clerical (Group C-level) jobs

	Parent A: Government clerk (Group C)	Parent B: PSU / bank clerk
Before (2004 letter)	Not creamy layer: status test, salary ignored	**Creamy layer: salary above limit**
After SC (2026)	Not creamy layer	Not creamy layer: post and status decide, salary not counted

Same job level, same pay, same backwardness: the Court says both children must be treated alike.

Directions, and the 6 November 2026 order

March 2026 directions

- All Union appeals dismissed; High Court rulings upheld
- DoPT to re-check candidates under the 1993 OM, without counting parents' salary
- Done within 6 months
- Create supernumerary (extra) posts where needed to fit affected candidates

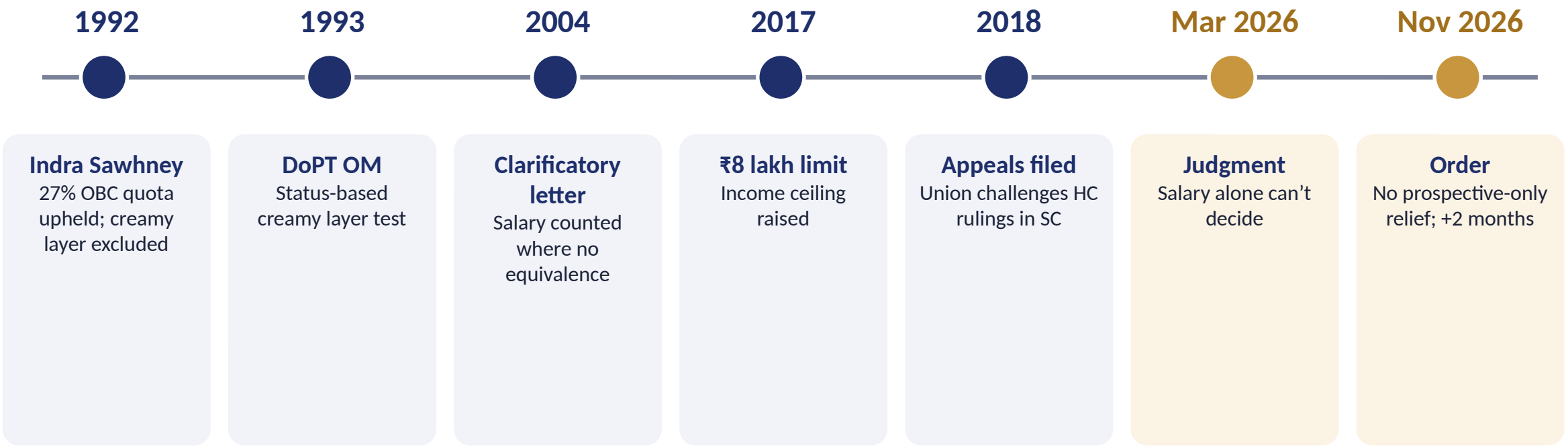
Centre asked for: ruling to apply only to the future (Art. 142), 2 more years, and protection of past recruitments

Issue	Court's answer (6 Nov 2026)
Apply only to future cases?	**Rejected: "no convincing or reasonable justification"**
Two years more?	**Only 2 months more (to about 6 Jan 2027)**
CSE 2025 OBC allocation	**Must follow the March 2026 principles**
Past seniority, promotions, selections	**Protected; not reopened**
Other similar candidates	**Can seek relief on their own merits**

Sources: LiveLaw; ThePrint/PTI (7 Nov 2026); Kerala Kaumudi (6 Nov 2026); Indian Pay Calculator (deadline estimate).

Timeline: from Mandal to Rohith Nathan

Next: DoPT to comply by about 6 January 2027; Government free to frame a fresh creamy-layer policy within constitutional limits.



Sources: LiveLaw; ThePrint/PTI; Superkalam; Indian Pay Calculator.

Significance, concerns and way forward

Significance

- Social status, not income alone, marks backwardness
- Ends unequal treatment of PSU/private staff children
- Executive letters can’t dilute policy
- Strengthens Indra Sawhney’s intent

Concerns

- Centre says 6.69 lakh reserved posts (3.70 lakh OBC) in 10 years may be affected
- Extra posts add cost
- Equivalence of PSU/private posts still not fixed
- Wave of fresh litigation likely

Way forward

- Notify post-equivalence quickly
- Review the ₹8 lakh limit (last revised 2017)
- Clear, single creamy-layer rulebook
- Periodic data on OBC sub-groups

Sources: Indian Pay Calculator (Solicitor General’s figures, 6 Nov 2026 hearing); ThePrint/PTI. Way forward: analysis for answer writing.

UPSC Capsule

Prelims facts

- Creamy layer concept: Indra Sawhney (1992)
- Test set by DoPT OM, 8 Sept 1993
- Income limit: ₹8 lakh (since 2017); salary & farm income excluded
- Case: UoI v. Rohith Nathan (2026)
- Art. 142 plea for prospective effect rejected

Mains angles

- GS-II: reservation, Arts. 14, 15(4), 16(4)
- Judicial review of executive circulars
- Equality: equals must be treated equally
- Governance: delay in post-equivalence

Practice question

"The creamy layer test should measure social advancement, not just income." Discuss in light of the Supreme Court's 2026 ruling. (150 words)